

Getting Washington Right

A Fact-Based Agenda for Change

Discussion draft, fall 2026

Washington has real strengths and real problems. This paper lays out the facts on issues that likely matter most to Washington families, what is driving them, and practical ideas for change. It is meant to start a conversation, not end one. Every chapter closes with questions worth debating.

Try it yourself: an interactive budget simulator accompanies this paper at getting-washington-right.github.io. Add or remove revenue, adjust spending, and see what closing the 2027-29 gap would take.

Figures come from state agencies, legislative staff, independent researchers, and news reporting, listed in the appendix. Estimates marked "est." are rough calculations meant to show scale, not official scores.

Contents

Principles

The ideas in this paper rest on five principles. They apply across issues and parties.

1. **Pay your own way.** State government should live within its means, and spending should grow no faster than the incomes of the people paying for it.
2. **The people decide.** Fundamental changes, especially to taxes and the constitution, belong with the voters. Laws should be changed openly, not through shortcuts.
3. **Your rights end where another's begin.** One standard for everyone.
4. **Measure what matters.** Every program should show results, and every claim should have a source.
5. **Build, don't block.** Homes, energy, and businesses need permission to grow.

Where Washington Stands

Measure	Figure	Source
State tax competitiveness	45th of 50 (2026), down from 33rd in 2020	Tax Foundation
Tax burden by income	Poorest 20% pay about 13.8% of income in state and local taxes; top 1% about 4.1%	ITEP, Who Pays? (2024)
2025-27 operating budget	\$80.2B near-general fund; \$157.3B all funds	Legislative budget staff
Budget growth since 2015-17	+110% nominal; roughly +35-40% after inflation and population (est.)	Legislative staff; est.
Projected 2027-29 gap	Roughly \$2-4B under current law; larger if the 2026 income tax is repealed	Legislative outlook; OFM; est.
Homes needed	1.1 million over 20 years	Department of Commerce
Officers per 1,000 residents	1.37, last in the nation (national average 2.31)	WASPC (2025)
8th-grade math	59% at Basic or above in 2024, down from 72% in 2003	NAEP
Premiums, individual market	Up an average of 21% for 2026	Office of the Insurance Commissioner

None of these numbers is destiny. Most trace to decisions that can be revisited, which is the subject of the chapters that follow.

1. Housing

| *Washington shouldn't be a place your kids can't afford to live in.*

The facts

- Washington must add 1.1 million homes over 20 years, more than 50,000 a year, and more than half need to be affordable to the lowest-income residents (Department of Commerce).
- In recent sessions the Legislature has passed laws allowing more types of housing in more neighborhoods, and in 2025 it capped annual rent increases.
- Many of the zoning changes are already law, so the open question is whether homes actually get built.

What's driving it

- Slow and unpredictable permitting and project appeals.
- State and local rules and fees that add to the cost of each home.
- Very little condo construction, which limits first-time ownership options.
- Neighborhood resistance rooted in concern that roads, sewers, and schools won't keep up with growth.

Ideas for change

- **Make the laws already passed deliver:** firm permit deadlines (a 60-day shot clock for code-compliant projects) and public reporting of every city's permit timelines.
- **Environmental review exemptions** for infill and middle housing that already meets zoning.
- **Lower the cost to build:** a published review of what state rules add to each home.
- **Homeownership, not just rentals:** examine what is holding back condo construction, including liability rules.
- **Infrastructure first:** growth comes with the roads, sewers, and schools to support it.
- **Measure rent stabilization:** track whether construction slows and adjust if it does.

Questions for the conversation

- What would make existing neighborhoods welcome more homes?
- Should the state set permit deadlines for cities, or reward cities that meet them?
- How should rent stabilization be judged, and by what data?

2. Cost of Living and Tax Fairness

Washington taxes businesses on what they sell rather than what they earn, and taxes working families hardest at the checkout.

The facts

- Washington ranks 45th overall on the Tax Foundation's 2026 index: 47th on business taxes (driven by the B&O tax) and 49th on sales taxes.
- The B&O tax applies to gross receipts, so businesses owe it even in years they lose money, and it compounds as goods move through the supply chain. Service rates now run 1.5% to 2.1% by revenue tier.
- Sales and use taxes raised \$16.2B in FY2025, 45% of state taxes; B&O raised \$7.0B, 19% (Department of Revenue).
- Each percentage point of the state sales tax is worth roughly \$2.6-2.7B a year (derived from DOR estimates).
- The 2026 income tax on household income over \$1 million (SB 6346) funds an expanded Working Families Tax Credit, sales-tax exemptions for diapers, over-the-counter drugs and hygiene products, and small-business B&O relief. It is on the November 2026 ballot for repeal (I-645).
- Washington's capital gains tax, 2026 income tax, and estate tax each give married couples one shared threshold where two unmarried people would each get their own.
- Luxury taxes on goods raise little: the 2025 taxes on luxury vehicles, aircraft, and boats were scored at about \$230M over six years combined.

What's driving it

- Heavy reliance on sales and gross-receipts taxes, which take a larger share of income from lower earners.
- Repeated rate increases and base expansions layered onto the B&O tax.
- About 786 tax exemptions and preferences, many added for specific industries and rarely reviewed for results.

Ideas for change

- **A revenue-neutral consumption swap, referred to voters:** keep the family and small-business relief (Working Families Tax Credit expansion, essentials exemptions, a \$250,000 B&O filing threshold) without an income tax, paid for by a 1% real estate excise surcharge on the portion of home sales above \$3.025M (~\$150M/yr est.), closing preferences the state's own auditors question, and indexing existing luxury taxes. Total relief and pay-fors of roughly \$580M a year each (est.; requires official scoring).
- **Replace the B&O tax** over time with a margins tax modeled on the bipartisan SB 5482 (2023): tax gross receipts minus the largest of cost of goods sold, compensation, 30% of receipts, or \$1M, with a simple option for small businesses. The rate needs re-scoring after 2025 increases.
- **End the marriage penalty:** double single-person thresholds for married couples across state taxes and credits.

- **No new broad-based tax without a vote of the people**, and no emergency clauses that block a referendum on tax bills.

Questions for the conversation

- Should Washington's tax fairness be improved by shifting the tax mix, or by expanding targeted credits?
- Which tax preferences have earned their place, and which should be retired?
- Should any income tax require a constitutional amendment vote?

3. Public Safety and Mental Health

Safe streets, and real help for people struggling with addiction and mental illness. We need both.

The facts

- Washington ranked last in the nation in officers per 1,000 residents in 2025 (1.37 versus 2.31 nationally).
- The state's \$100M police hiring grant had funded 45 officers by May 2026.
- Crime fell in 2025: murders down 23.1%, violent crime down 13.8%, property crime down 21.3%.
- Homelessness rose 25% since 2022 in the one-night count despite about \$1.8B committed for 2025-27; growth has slowed.
- Voters approved universal background checks (2014) and extreme risk protection orders (2016); a permit-to-purchase law takes effect in 2027.

What's driving it

- Officer shortages and slow academy capacity.
- Fentanyl and untreated behavioral health needs.
- Homelessness programs measured by spending rather than outcomes.

Ideas for change

- **Officer recruitment and academy capacity**, with training standards and accountability.
- **Fentanyl enforcement paired with treatment diversion.**
- **Treatment capacity and housing paired with treatment**, with outcome data by county.
- **Firearms:** fund enforcement of existing background checks and protection orders, safe-storage incentives, and suicide prevention, while revising laws courts find infringe constitutional rights.
- **Target organized retail theft.**

Questions for the conversation

- How should officer staffing and accountability be balanced?
- What does success look like for homelessness spending?

4. The State Budget

| *Our spending problem isn't too many people in need. It's a budget that grows on autopilot.*

The facts

- The near-general fund grew from \$38.2B (2015-17) to \$80.2B (2025-27).
- The 2025-27 budget balanced partly with one-time items: an \$880M rainy-day transfer, \$766.5M in assumed reversions, and other fund transfers.
- The cost of continuing current services grew an average of 9.4% per biennium from 2001-03 to 2025-27 (Washington Research Council).
- The Legislature added about \$15.5B in net new policy spending since 2021 (Washington Research Council).
- State tort payouts rose from about \$100M (FY2021) to a record \$537M (FY2026); about \$1.3B is projected for 2027-29 (Department of Enterprise Services).

What's driving it

- K-12 costs after the McCleary decision: state school spending rose 110% from 2009-11 to 2019-21 while enrollment was roughly flat. Part of this replaced local levies.
- Pay increases for school staff, state employees, and state-paid caregivers.
- Health care prices and a shrinking federal share of Medicaid expansion costs.
- Programs that start small and reach full cost years later.
- Court and voter mandates, including McCleary, Trueblood, and I-732.
- Revenue booms turned into permanent spending: in 2025 the state faced an \$8.6B four-year shortfall and still raised spending a net \$5.9B.

Ideas for change

- **A spending limit:** state spending grows no faster than Washingtonians' personal income.
- **A full-cost rule:** no new program without its fully phased-in cost fitting the four-year outlook.
- **Windfalls to reserves,** never to new ongoing programs.
- **Raises tied to revenue** through a formula.
- **No booked savings without controls.**
- **Sunset reviews** for every major program.
- **Tort reform paired with prevention** in the child welfare system.
- **Grow the economy** through housing, energy, and business tax reform, treating growth as upside rather than an assumption.

Questions for the conversation

- Should Washington adopt a constitutional or statutory spending limit?
- How would you close the gap? Try the budget simulator at getting-washington-right.github.io.
- How should lawsuit costs be reduced without harming people the state failed?

5. K-12 Education

| *We pay for great schools. Our kids' scores should show it.*

The facts

- State K-12 spending rose 110% from 2009-11 to 2019-21 (Washington Research Council).
- 8th-grade math: average score 274 in 2024 versus 281 in 2003 (NAEP).
- 4th-grade reading: 216 in 2024 versus 218 in 1998 (NAEP).
- 2025 state tests: about 51% of students in grades 3-8 proficient in English and 44% in math.
- Average teacher salaries rose 13.1% in 2018-19; Washington ranked fifth nationally in 2023.

What's driving it

- New money not tied to measurable improvement.
- Non-classroom staffing that deserves the same scrutiny as classroom results.
- Evaluation systems that rarely separate performance.

Ideas for change

- **A third-grade reading guarantee** built on the Mississippi model.
- **Back-to-basics math** and pay incentives for math, science, and special education teachers.
- **Pay more where it's hardest to teach**, building on the National Board bonus teachers already support.
- **Career ladders** for master and mentor teachers.
- **A one-page scorecard** for every school: spending, results, and share of dollars reaching classrooms.
- **Tie new funding to district improvement**, with accountability starting with administrators.
- **Public school choice**: charters, transfers, Running Start, and career-technical education.
- **Fully fund special education**.

Questions for the conversation

- How should new school funding be tied to results?
- What should the state require every school to report?

6. Health Care Costs

| *Health care should cost less because we pay fair prices, not because we cover less.*

The facts

- Individual-market premiums rose an average of 21% for 2026; the Insurance Commissioner cited care and drug costs, provider rates, hospital consolidation, and federal tax-credit uncertainty.
- About 300,000 Washingtonians buy their own coverage; the state estimated 80,000 could lose it without renewed federal credits.
- Oregon capped hospital payments in its state employee plan at 200% of Medicare in-network and saved \$107.5M over 27 months, with minimal effect on hospital finances or patient experience (Brown University).
- Washington has since adopted a similar approach for its own state employee plan (Health Affairs).

What's driving it

- Hospital prices and consolidation, including private-equity acquisitions.
- Prescription drug costs and pharmacy benefit manager practices.
- Underinvestment in primary and behavioral care, which pushes costs into emergency rooms.

Ideas for change

- **Fair prices for taxpayer-funded plans:** extend hospital price caps to other state-purchased coverage, exempting rural and critical-access hospitals.
- **Review hospital mergers and acquisitions** for their effect on prices.
- **Real price transparency** and a public statewide price comparison.
- **Enforce the state's cost-growth benchmark** by insurer and hospital system.
- **Shift spending toward primary and behavioral care.**

Questions for the conversation

- Should the state act as a tougher buyer for the coverage it pays for?
- What is the right role for the state in hospital mergers?

7. Transportation and Traffic

| *Fix what we have before promising what we can't finish.*

The facts

- Highway construction costs rose about two-thirds in just over three years nationally.
- WSDOT averaged more than six bids per project in 2021 and about 2.5 in 2023; one major contract drew a single bid.
- Court-ordered fish-culvert costs roughly doubled to about \$7.8B; WSDOT says the last 10% of habitat will cost as much as the first 80%.
- The 2025-27 transportation budget delayed \$1.3B in state and \$488M in local projects.

What's driving it

- Construction inflation and collapsing bid competition.
- Prioritizing new projects over maintenance, which a WSDOT deputy director identified as the core problem.
- Gas tax revenue shrinking as vehicles become more efficient.

Ideas for change

- **Fix it first:** fund maintenance of roads, bridges, and ferries before expansion.
- **Restore competition:** smaller contract packages, published bidder counts and engineer's estimates.
- **Independent cost reviews** at each project stage.
- **Ferries:** one standardized vessel design built on a steady schedule.
- **Culverts:** honor the court order while negotiating with tribes to do the highest-value work first.
- **Clear crashes faster** and fix the worst choke points first.
- **Study a road-usage charge** so electric and high-efficiency vehicles pay for roads too.

Questions for the conversation

- Should maintenance legally come before new capacity?
- How should roads be funded as gas tax revenue declines?

8. Energy

| *We need every kind of energy, and clean energy should be the kind families can afford.*

The facts

- Washington's gas tax is 55.4 cents a gallon, third highest in the nation.
- During the 2026 price spike, Washington reached a record \$5.57 a gallon versus \$5.15 in Oregon, which shares the same refineries.
- The Department of Ecology estimates cap-and-invest adds 5-15.5 cents a gallon and the Clean Fuel Standard about 7.2 cents; independent estimates run higher.
- Ecology forecasts cap-and-invest auction revenue falling from \$1.80B (FY26) to \$0.29B (FY30).
- Voters kept the Climate Commitment Act in 2024 (I-2117 failed with 62% no) and passed I-2066 on natural gas choice (about 52% yes), which the state Supreme Court struck down on single-subject grounds in 2026.

What's driving it

- Layered climate policies with limited cost transparency for consumers.
- Slow permitting for transmission and new generation.
- Programs built on auction revenue that is now declining.

Ideas for change

- **Protect hydropower** and back advanced nuclear alongside renewables.
- **Fast-track transmission and clean-generation permitting**, the biggest cost of clean power.
- **Energy choice** through a clean, single-subject law.
- **Full cost transparency**: show climate program costs on utility bills and fuel receipts, and report where the money goes.
- **Plan for the revenue cliff** instead of creating new programs that depend on peak auction revenue.

Questions for the conversation

- How should climate goals and household energy costs be balanced?
- What should happen to programs funded by declining auction revenue?

9. Child Care

| *Parents can't work without child care, and employers can't grow without parents at work.*

The facts

- King County center-based infant care had a median cost of \$2,375 a month in 2024, about 24% of median household income (Child Care Aware of Washington).
- Statewide, the median infant center cost was about \$1,750 a month in 2023.
- Over 12 years Washington gained more than 20,000 slots but lost about 2,000 providers as home-based providers closed.
- Michigan's Tri-Share, in which state, employer, and employee each pay a third, cut participants' average monthly cost from \$716 to \$252, but served about 700 families after four years.
- New Mexico began free child care for all families in November 2025, backed by a trust fund.

What's driving it

- Low wages and high turnover in the child care workforce.
- Loss of home-based providers.
- Facility and licensing costs.

Ideas for change

- **Build supply first:** allow licensed home-based care in residential zones; streamline licensing without lowering safety standards; low-interest facility loans.
- **Pilot Tri-Share** in regions with the worst shortages.
- **Employer incentives** for on-site or partnered care.
- **Consider making child care workers eligible** for subsidized care for their own children, a low-cost way to recruit and keep staff.

Questions for the conversation

- Is the bigger problem price or supply?
- What role should employers play?

10. Fraud, Waste, and Accountability

| *Every dollar lost to fraud or error is a dollar taken from a family.*

The facts

- The State Auditor's FY2025 statewide single audit questioned \$37M in child care payments and found a \$19.6B Medicaid payment system operating without a required independent controls audit.
- Washington's SNAP payment error rate was 6.98% in FY2025; under federal law, rates above 6% trigger state cost-sharing of more than \$90M a year starting October 2027.
- About \$8.6M a year was spent on premiums for people enrolled in Medicaid in more than one state (State Auditor).
- Of \$647M in pandemic unemployment fraud, about \$223M will likely never be recovered.
- The 2026 budget had to restore \$71M in Medicaid "program integrity" savings that were booked but never achieved.

What's driving it

- Weak controls in large payment systems.
- Budgets that assume savings before controls exist.
- Documentation errors, which drive most improper payments rather than fraud.

Ideas for change

- **Get SNAP accuracy under 6%.**
- **Pre-payment verification** for child care subsidies.
- **Duplicate-enrollment checks** across states.
- **Give the State Auditor mandatory referral power** and fund a dedicated fraud prosecution unit.
- **Tie agency budget increases to clean audits.**
- **Prosecutor transparency:** publish charging, declination, and dismissal rates by county and offense.

Questions for the conversation

- Which programs most need stronger controls?
- Should budget growth depend on audit results?

11. The Safety Net as a Bridge

Most of our safety net supports seniors, people with disabilities, and children, as it should. For working-age adults, help should be a bridge.

The facts

- Care for seniors and people with disabilities, including long-term care, is among the largest and fastest-growing parts of the safety net, and one of the budget's biggest cost drivers.
- A 2015 state study of families who reached the TANF time limit found 64% had a mental illness and 25% needed drug or alcohol treatment.
- Identifiable state programs serving non-citizens total roughly \$0.29-0.35B per biennium, about 0.4% of the budget; most serve lawful immigrants and refugees.

What's driving it

- Untreated mental illness and addiction.
- Benefit cliffs, where earning more costs families more in lost support.
- Child care and housing costs that make work hard to sustain.

Ideas for change

- **Fix benefit cliffs** so a raise always leaves a family better off.
- **Pair assistance with job training and apprenticeships.**
- **Treatment first** for working-age adults stuck in assistance.
- **Protect seniors, people with disabilities, and caregivers of young children.**
- **Publish program costs by population served**, so voters can weigh them.

Questions for the conversation

- How do we measure whether a bridge program works?
- Which benefit cliffs matter most?

12. Workforce and Higher Education

| *Every young person deserves a path that doesn't start with crushing debt.*

The facts

- Many well-paying jobs in construction, health care, and the skilled trades don't require a four-year degree.
- Families rarely see clear, comparable data on what different programs lead to: completion, jobs, and earnings.

What's driving it

- A system that treats four-year college as the default path.
- Limited apprenticeship capacity.

Ideas for change

- **Expand apprenticeships** and community college pathways.
- **Grow Running Start** and career-technical education.
- **Measure outcomes:** completion, employment, and earnings by program.

Questions for the conversation

- What would make trades and apprenticeships a first choice rather than a fallback?

13. Immigration and Public Safety

Work with federal authorities on dangerous crime, keep communities' trust, and give long-term workers a lawful place in the economy.

The facts

- The 2019 Keep Washington Working Act bars local jails from holding people on immigration detainers without a judicial warrant or notifying federal agents of release dates; the state prison system is exempt.
- In 2014 a federal court in Oregon held a county liable for jailing someone on an immigration detainer alone.
- Immigration status is set by federal law; states cannot create legal status.

What's driving it

- No state mechanism for federal notification before releasing people arrested for serious crimes.
- No federal path to lawful status for long-term workers.

Ideas for change

- **Judge-based notification:** local jails may notify federal authorities before releasing someone when a judge has found probable cause for a violent offense, felony DUI or vehicular homicide, a violent or prohibited-possession firearm felony, a sex offense against a child, or trafficking; or for a new felony by someone with two prior felony convictions in ten years.
- **Hold only with a conviction or a federal judge's warrant.**
- **No immigration questions at traffic stops or in routine policing.**
- **Press Congress for lawful work status, not citizenship,** for long-term workers without criminal records.

Questions for the conversation

- Where should the line between local policing and federal enforcement sit?

14. Students, Sports, and School Facilities

Girls deserve fair competition and privacy, and every student deserves a place to play and a private option.

The facts

- Very few transgender athletes compete: the NCAA president told Congress in 2024 he knew of fewer than 10 among about 510,000 athletes.
- A separate open category at a 2023 World Aquatics meet drew no entries; cycling's governing body adopted a women's category plus an open category.
- Washington's anti-discrimination law has covered gender identity since 2006. I-638 (girls' sports) and I-001 (parental rights) are on the November 2026 ballot.

What's driving it

- Competing rights claims between groups of students.
- Rules set by guidance rather than open legislative debate.

Ideas for change

- **Two sports categories, no new teams:** a girls' category based on biological sex, and the current boys' category opened to every student.
- **Multi-user facilities by biological sex,** with single-user restrooms and changing rooms in every school available to any student.
- **Least-intrusive eligibility rules.**
- **Parental notification with safety exceptions** for students at risk at home.
- **Change the law openly,** through the Legislature or the voters.

Questions for the conversation

- How can fairness, privacy, and inclusion all be protected?

15. Forests and Public Lands

Our forests should be managed, not neglected, and public lands should be open to the people who own them.

The facts

- Central and eastern Washington have at least 2.7 million acres of unhealthy forest; the state's 20-year plan targets 1.25 million acres, with about 590,000 treated by October 2025 (DNR).
- The Discover Pass rose from \$30 to \$45 in October 2025.

What's driving it

- Decades of fire suppression and limited active management.
- Access costs and road closures.

Ideas for change

- **Scale thinning and prescribed fire**, with science-based targets and old-growth protection.
- **Good Neighbor Authority partnerships** to restore federal forests.
- **Keep roads, trailheads, and water access open**, and revisit access fees.

Questions for the conversation

- Should the state's forest health goal cover more of the problem?

16. The People Decide

| *If a law needs to change, change it in the open, or ask the voters.*

The facts

- Washington voters directly decided abortion rights (1991), background checks (2014), and marriage equality (2012).
- The 2026 income tax passed with an emergency clause that blocked a referendum.
- Constitutional amendments require a two-thirds legislative vote and a majority of voters; the Legislature can refer any bill to voters by simple majority.

What's driving it

- Emergency clauses and late amendments that bypass public input.

Ideas for change

- **No emergency clauses** on tax or policy bills to block referendums.
- **No title-only bills** or late amendments that skip public hearings.
- **Single-subject drafting** for every bill.
- **Honor voter decisions**, including those one might have voted against.

Questions for the conversation

- Which decisions should always go to the voters?

Sources

- Department of Revenue: Tax Statistics 2025; 2024 Tax Exemption Study; Revenue Alternatives (Dec. 2024)
- Economic and Revenue Forecast Council: September 25, 2026 forecast
- Legislative fiscal staff: 2026 supplemental budget summaries and four-year outlook (fiscal.wa.gov)
- Office of Financial Management: Initiative 645 fiscal impact statement
- Washington Research Council: budget and tax analyses; 2026 Fiscal Management Performance Review
- Tax Foundation: 2026 State Tax Competitiveness Index
- ITEP: Who Pays? (7th ed., 2024)
- Tax Structure Work Group final report (2023); SB 5482 (2023)
- State Auditor: FY2025 statewide single audit; concurrent Medicaid enrollment audit
- USDA Food and Nutrition Service: SNAP payment error rates
- Department of Ecology: cap-and-invest revenue forecast; Clean Fuel Standard reports
- Department of Commerce: housing needs; homelessness counts
- WSDOT and legislative transportation staff; news reporting on project costs
- Office of the Insurance Commissioner; Health Care Cost Transparency Board; Brown University study of Oregon hospital payment cap; Health Affairs
- Child Care Aware of Washington; Michigan Tri-Share evaluations; New Mexico Early Childhood Education and Care Department
- Department of Enterprise Services: tort payout data
- WASPC Crime in Washington (2025)
- NAEP; OSPI Report Card
- Department of Natural Resources: 20-Year Forest Health Strategic Plan